Compounding and SIP cheat sheet

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1. The SIP formula

FV = P × [((1 + r)^n − 1) ÷ r] × (1 + r)

P = amount invested each month, r = monthly return (yearly % ÷ 12 ÷ 100), n = number of months. Assumes each instalment is made at the start of the month and the return is steady.

2. Ready reckoner: ₹10,000 a month at 12% a year

Years	You invest	Value at the end	Value ÷ invested
5	₹6.0 lakh	₹8.2 lakh	1.37×
10	₹12.0 lakh	₹23.2 lakh	1.94×
15	₹18.0 lakh	₹50.5 lakh	2.80×
20	₹24.0 lakh	₹99.9 lakh	4.16×
25	₹30.0 lakh	₹1.90 crore	6.33×
30	₹36.0 lakh	₹3.53 crore	9.81×

3. Same money, different start

₹10,000 a month for 20 years → about ₹99.9 lakh
₹20,000 a month for 10 years → about ₹46.5 lakh
Both invest ₹24 lakh. Starting earlier gives compounding more years to work.

4. The rule of 72

Years to double ≈ 72 ÷ yearly return in %. At 12% → about 6 years. At 8% → about 9 years.

5. Remember

- Returns vary from year to year; treat any projection as a scenario, not a promise.
- At 6% inflation, ₹1 crore in 20 years buys roughly what ₹31 lakh buys today.
- Expense ratios and taxes reduce what you keep. Check current tax rules before redeeming.

For education only. Not investment advice. Consult a SEBI-registered investment adviser before investing.
Figures are illustrations computed with the formula above.